

Activity 7: Recover a Logistics Service Relationship

TSC mapping: K4 | K5 | A4 Objective: Use listening, empathy, questions and emotional regulation with a defensive service provider. Expected output: A structured recovery meeting record and conditional service-improvement agreement. Primary source: <https://www.betterup.com/blog/negotiation-skills>

Goal

Renegotiate a logistics service-level agreement after repeated delivery failures while preserving peak-season capacity.

Real-world scenario

Real-world use case: service-recovery negotiations combine operational facts, attribution disputes, emotion, capacity constraints and future relationship value.

LionCity Homeware's logistics provider missed 18% of delivery windows during a campaign. Customer complaints rose, but the provider says inaccurate forecasts and late order changes caused most failures. The account manager becomes defensive when service credits are mentioned. Switching providers before the year-end peak is risky.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- The SLA target is 95% on-time delivery; actual performance was 82% for six weeks.
- Thirty percent of late orders were changed by LionCity after the agreed cut-off.
- Service credits could total SGD 42,000, but capacity for the peak period is more valuable.
- Both parties can share weekly forecast and capacity data under confidentiality controls.

Questions

1. Which facts, interpretations and emotions must be separated?
2. What open and diagnostic questions could reveal the failure system?
3. How can the team acknowledge impact without accepting unsupported blame?
4. What reciprocal recovery commitments create measurable improvement?

Detailed activity procedure

Step 1: Regulate before engaging

Identify triggers, choose a neutral opening and agree when either team may request a break.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Build a shared fact base

Separate incident data, contractual definitions, disputed attribution and missing evidence.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Run the listening loop

Ask, paraphrase, label concerns, check accuracy and summarise areas of agreement.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Diagnose root causes

Map forecasting, cut-off, capacity, route, communication and exception-handling failures.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Create a recovery package

Combine forecast discipline, capacity reservation, operational review, service credits and escalation triggers.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Confirm monitoring

Set metrics, owners, weekly cadence, evidence source, review date and consequences of missed recovery milestones.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A structured recovery meeting record and conditional service-improvement agreement.

Acceptance criteria

The record distinguishes fact from blame, captures both parties' interests and assigns measurable reciprocal actions with owners and dates.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026: <https://www.betterup.com/blog/negotiation-skills>